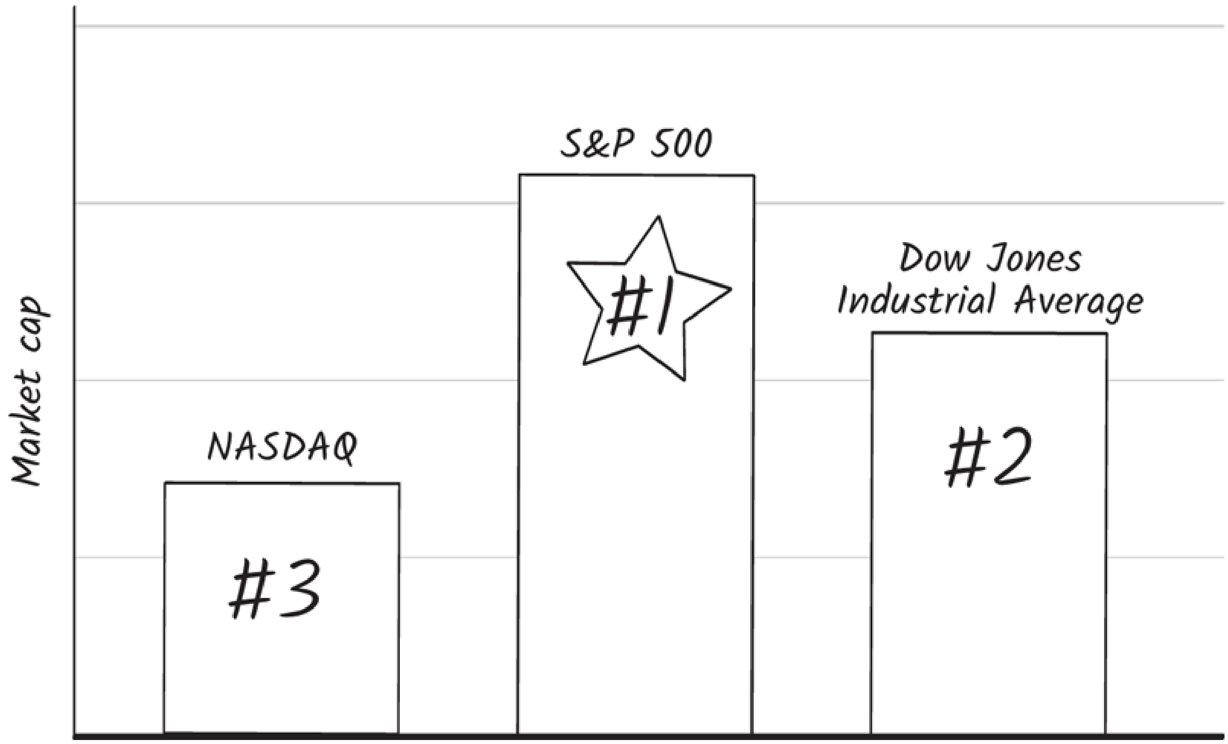

Figure 5.1: the top three indexes

You may have heard of an S&P 500 index fund. Different companies have their own funds based on the index, like Vanguard's S&P 500 fund or Smartshares' S&P 500 fund. They both invest in the same thing. It's like buying a plain black Nike shirt versus an identical plain black Adidas shirt: it's the same black shirt, just different branding. You can buy the fund through a broker (like buying the shirt through ASOS or The Iconic) or from its investment company (e.g. buying the shirt directly from Nike or Adidas). In simple terms, these index funds are the world's most common funds and there are many variations of where and how to buy them — but more on that in 'Putting it all together'.

An index fund is a type of mutual fund, but it's passively managed rather than actively managed. If company A surges in value and becomes a top 500 company, the portfolio automatically gets adjusted by investing into company A and kicking out company B, which was #500 on the list but is now #501.

It's simple. Since there's no need to have a person there to adjust the funds and go over which companies should and shouldn't be there, the fees